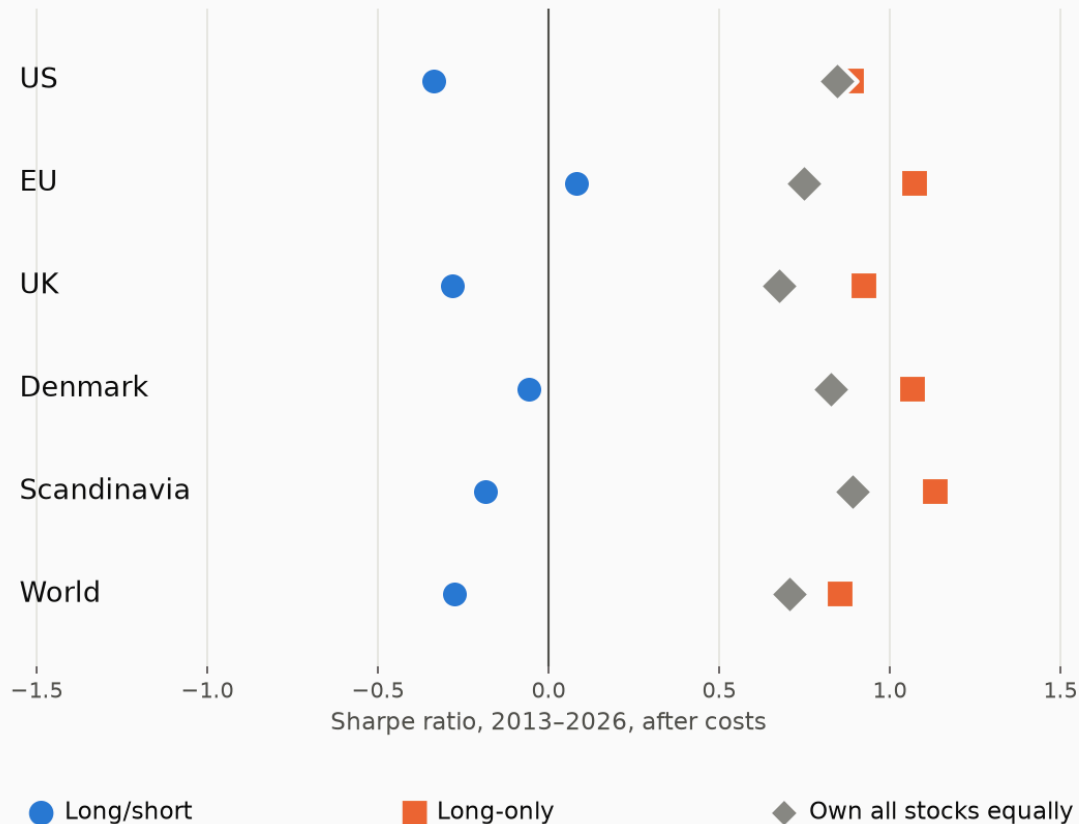


Low volatility

Do calm stocks beat exciting ones?



Long/short positive in 1 of six markets; long-only beat owning all stocks in all six.

Henrik Gjernerig · Project 10 · point-in-time universes, local currency (World in USD)

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Low-volatility stocks earn about the same or more than high-volatility stocks, so their risk-adjusted return is far higher, contradicting the CAPM. Blitz & van Vliet (2007) documented it globally for 1986–2006; Ang, Hodrick, Xing & Zhang (2006) for idiosyncratic volatility.

I tested it on six markets, 2013–2026: US, Europe, UK, Denmark, Scandinavia and the world. Point-in-time index members, after costs.

Long/short (calmest stocks minus most volatile stocks): -8.7% to +1.6% a year, positive in 1 of six markets. Adjusted for market beta: +2.8% to +10.9%.

Long-only (calmest stocks): a better Sharpe than owning all the stocks equally in all six markets.

The pre-declared fixes (beta-neutral legs, a turnover buffer, volatility targeting) took the 2020–26 holdout Sharpe from -0.14 to 0.21.

360° view: it keeps some information beyond its nearest neighbours.

Full factsheet with P&L, trade records, drawdowns, factor attribution, fixes, classification and the 360° view: <https://hgjernerling.github.io/now-showing/factsheets/fs04-low-volatility>

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